

Image 6.1 shows different degrees of loss-to-breakeven in % terms. For example, if a trader loses 10% of his trading capital, he has to make 11.1% returns to recover his original capital (before he can start making profit). Similarly, if a trader loses 50% trading capital, then he has to make 100% returns on his reduced account to reach the breakeven stage. So, it is always a good idea to follow the 2% risk per trade rule to stay in the intraday trading game.

The 3 Trades per Day Rule

Some day traders may not agree to this rule. But my point is quite simple. What should be our aim in day trading? To make money or to take more than 3 trades? If you look at the intraday chart (10 or 15 min) of any scrip, on most of the trading days (over 90%) you will find only one trading opportunity (either long or short) in a day. So, it doesn't make any sense to take more than 3 trades per day.

Let us say you had 2 profitable trades on a trading day. What is the possibility of taking a 3rd trade? Very less, right? Even if you take the 3rd trade, you will only risk some portion of the profits (if you are a sensible day trader). So most day traders, when they are winning, will stick to less than 2-3 trades per day.

But we tend to exceed this count whenever we get some losses on a trading day. Because of a revenge trading attitude, we aim (without much consciousness) to get back the money lost in the losing trades. This is a dangerous attitude for any day trader. The mother of all losses starts from this point!

A simple technique to avoid this issue is by having the 3 trades per day rule in trading. Whenever you complete the 3rd trade, regardless of how much time is remaining for the market close or how calm you are, shut down your trading system and focus on other aspects of life. This will not only prevent the mother of all losses but also help you to choose only the best trades!

The 10% Loss per Day Rule